

client's behalf. With such fee arrangements, the advisor makes investment recommendations, but the client implements them.

The important point of this fee structure and the meaning of *only* within the term *fee only* is that these advisors are paid only by their clients. They do not receive any commissions or other financial incentives for getting their clients into any particular investments or financial products, which eliminates an obvious source of potential conflicts. Comprehensive financial planners should assist their clients with eight core planning areas: investments, taxes, debt management, education planning, retirement planning, estate planning, insurance, and household budgeting.

As you can see, there is much to do beyond just investment management. Presently, the fiduciary standard of care is not applied to brokers or insurance agents, though new rules from the Department of Labor that went into effect in June 2017 have strengthened requirements for those advising on qualified retirement plans (such as 401(k) and IRA accounts) to serve as fiduciaries. These landmark rule changes could have big impacts over the coming years, since retirement plan assets represent a significant portion of the investment assets held by American households.

Presently, brokers and insurance agents are treated more generally as salespeople, and they are required to use a suitability standard of care with their customers. Any recommended financial products must be “suitable” for the purchaser's situation, though the recommendations do not necessarily need to serve the best interests of the purchaser. For those acting as brokers and insurance agents, their primary professional obligation is to their employer rather than their client. For instance, a suitable investment or insurance product that pays a higher commission to the broker or agent—presumably because it is a more profitable product for the employer—could be recommended under the suitability standard, even if another approach would better serve the customer's interests. Surveys of the public generally reveal that most people do not understand the distinctions between the fiduciary and suitability standards, nor do they understand the differences between investment advisors and brokers. Perhaps a simple example is the analogy of selling cars. When you go to a Honda dealership, you reasonably expect the salesperson to sell you a Honda. The salesperson will probably